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TAB 8



Board of Education Report

File #: Rep-109-24/25, Version: 1

Authorization to Negotiate and Execute a Non-Binding Letter of Intent for the Potential Exchange of the NEW Academy Canoga Park Property for an Interest in a Planned Housing Development and to Conduct Due Diligence

November 19, 2024

Facilities Services Division

Action Proposed:

Authorize the Chief Facilities Executive and/or her designee(s) to negotiate and execute a non-binding Letter of intent (“LOI”) with New Economics for Women (“NEW”) for a possible exchange of the NEW Academy Canoga Park school site (“School”) for a housing development to be constructed by NEW, conduct and expend no more than \$50,000 for due diligence, and execute reasonable contracts to evaluate this possible property exchange. Staff will present to the Board of Education (“Board”) with its evaluation of, and recommendation for, the possible property exchange and, if applicable, request Board authorization to enter into an agreement for a property exchange at a later date.

Background:

In 2004, the Canoga Park New Elementary School Project was planned as a 536 two-semester seat, 24 classroom, K-5 facility to relieve overcrowding at Canoga Park Elementary School. The approximately 2-acre site upon which the School is located was originally owned by LCB Enterprises (“LCB”), a subsidiary of NEW, a local nonprofit low-income housing developer. Rather than developing the site as a District project, the District negotiated with LCB to construct a new elementary school on the property at LCB’s sole cost and expense. On January 13, 2004, the Board took an action to approve the project. The project cost, which included the completed improvements, and the Districts internal costs was \$19,899,468, not including the land. Upon completion in 2005, the District purchased the site, including the land, for \$23,074,993 and leased the site back to LCB for \$1 annually. The District used State Escutia Funds to complete the purchase. NEW has operated an independent K-5 charter school on the site since it opened in 2005.

NEW currently occupies the School pursuant to a Charter School Use Agreement that will expire on September 25, 2025. NEW has indicated that their motivation for the potential transaction is that the ownership of the School will allow permanent occupancy for its school and owning the school building will allow them to complete their vision for the Tierra del Sol Community which began 20+ years ago. NEW had a vision for a community development that included a school, residential and a community center. But it also was intended to be a community with services for the residents of the area. The School is the only facility on the block they do not own. Owning this asset is important to them to complete their original vision.

If the District and NEW cannot mutually agree upon an exchange of property, the District will continue to own the School and expiration of the Charter School Use Agreement will allow the District to utilize the School for its purposes or proceed with a fair, transparent, and neutral bid process to allow the School to be occupied by a charter school.

Terms of NEW's Letter of Intent to Exchange

NEW has submitted a non-binding Letter of Intent ("LOI") to the District proposing to exchange (using Ed. Code Section 17536, et seq.) District's interest in the School (including the land), for an ownership interest in a proposed 60-unit affordable workforce housing project NEW is developing on two adjacent properties located at 18704 Sherman Way and 7133 Yolanda Avenue in Los Angeles. The housing project currently proposes a mix of 1-, 2- and 3-bedroom units in a 3-story building over approximately 80 parking spaces. NEW is evaluating how various new housing regulations could be applied to the site to increase the number of units to be constructed. See the following images of the site and three possible development scenarios. NEW is proposing that, pursuant to AB 3308, the majority, if not all, of the units be deed restricted to District employees. NEW will construct the project using their own funding and District will not be responsible for funding any of the improvements or project costs.

NEW suggests the parties execute a LOI to proceed with conceptual design, development, and feasibility planning, which will also be used by NEW to secure financing commitments. The District will require the LOI include a commitment and disclosure from NEW that all or a portion of the planned housing units will be restricted to District employees depending on the District's due diligence and mutually agreed upon terms and conditions of a property exchange, if applicable. At this time, the District does not know if a property exchange will involve all or portion of the housing units that NEW is proposing to construct. Upon preliminary approval of a Design Development plan by the City of LA, NEW proposes the parties then execute a Memorandum of Understanding ("MOU") to enter into an exchange agreement. The exchange agreement would be subject to NEW receiving approval of the construction documents by the City and be executed by the parties before commencement of construction of the housing project. NEW suggests the following timeline for the transaction:

• Schematic Design and Preliminary Land Use Investigation	15 weeks
• Design Development and City Planning Dept. Review	15 weeks
• Cost Estimating and Preparation of MOU	5 weeks
• Board Approval of MOU	TBD
• Construction Documents	30 weeks
• Preparation of Exchange Agreement	5 weeks
• Board Approval of Exchange Agreement	TBD
• Construction	12 - 18 months

Expected Outcomes:

Approval of the proposed action will allow staff to negotiate and enter into a Letter of Intent to secure a mutually satisfactory set of terms to an exchange of Los Angeles Unified property for new affordable housing for employees.

Board Options and Consequences:

The adoption of staff's proposal will permit Los Angeles Unified to proceed with the negotiations for the Letter of Intent and pursue further due diligence. If the proposed action is not adopted, staff will be unable to proceed with Letter of Intent and due diligence activities. As a result, Los Angeles Unified will lose the ability to exchange an asset that produces little material revenue for a much-needed affordable housing project.

Policy Implications:

This action helps facilitate the Los Angeles Unified employee housing initiative. The proposed action advances Los Angeles Unified's 2022-2026 Strategic Plan, Pillar 4 Operational Effectiveness, Make Los Angeles Unified

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the District of Choice and Pillar 5 Investing in Staff, Development and Uplifting of Talented Staff to Serve All Students.

Budget Impact:

The proposed action does not have a budget impact as the Board previously authorized funding for the housing initiative of \$1,500,000. The current budget for the proposed negotiations and due diligence is \$50,000.

Student Impact:

The proposed Project will help ensure that the students attending the school are provided with safe and updated facilities that support learning.

Equity Impact:

Not applicable.

Issues and Analysis:

Advantages

- The proposed transaction would provide the District with the opportunity to exchange an independent charter school (NEW pays \$1 annually for the lease back) for an affordable housing development that will allow the District to move forward on its housing initiative, deliver much needed affordable housing opportunities for employees and require a minimal commitment of its funds. Funding will be limited to the costs of performing the due diligence for the land exchange.
- The exchange concept does not require forming a 7-11 Committee and eventually declaring the property surplus. The exchange can be completed by Board action.
- The District would have little risk as the exchange would only happen after NEW had completed the new housing development and received a certificate of occupancy.
- NEW's charter school petition would still require regular review and authorization by the Board.

Challenges

- Requires negotiations to establish the number of units the District would control in the exchange.
- Rising construction costs and interest rates/financing challenges could affect the budget and timeline in a way that the project costs and schedule could be materially impacted. The District would need to be protected so it had the ability to terminate the agreement if it is not getting the benefit of the bargain.
- Although the District is just completing its employee housing survey to support a commitment to the units, given the long waiting lists for units at the District's three existing affordable housing projects, there is little risk that the project would not garner interest from District employees and their families. In addition, the survey of District employees will be complete before a binding agreement between NEW and the District is executed.

Attachments:

None

Informatives:

None

Submitted:

10/20/24

RESPECTFULLY SUBMITTED,
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